The last question to ask here is- **how much liability is being created and paid every year?** If we consider that a company creates **a provision of 50cr annually** because of the expected expenses, **the liability increases by 50cr each year.** But, if the company pays **100cr each year for the last 2-3 years**, the liabilities will decrease. However, if the company is not paying adequately, the liabilities will keep growing and may create problems for the company in the future.

Thus, we need to analyze if the company is paying off its liabilities and, if so, by what amount. Again, the questions to be asked to understand long-term provisions are:

1. How large are long-term provisions as a percentage of total assets?

2. In what form and time will the liability be due?

3. Can the company repay it?
   - ◊ From its assets
   - ◊ From its operational cash flow

4. Are the liabilities increasing or decreasing?

In the next section, we will discuss other non-current liabilities.